

TECHNICAL BRIEFING

Unfair Dismissal from 1 January 2027

What changes, what it costs, and the full Employment Rights Act timeline

Themis Professional Services | September 2026

Executive summary

On 1 January 2027 the qualifying period for ordinary unfair dismissal falls from two years to six months, and the cap on the compensatory award is abolished altogether. Both changes come from the Employment Rights Act 2025, which received Royal Assent on 18 December 2025 and is being commenced in stages across 2026 and 2027.

Most commentary treats this as a human resources problem. It is also a financial one. A contested dismissal ceases to be a bounded liability with a known ceiling and becomes an open-ended contingent liability that, given current tribunal waiting times, may remain unresolved for two to four years. That is a provisioning question and a due diligence question as much as an employment question.

The change is not that dismissal becomes harder. It is that the consequence of getting it wrong stops having a ceiling, at exactly the point when the queue to find out has never been longer.

This briefing sets out precisely what changes, the commencement mechanics that determine who is caught, the effect on an employer's current position, the case for and against from both sides, and a full timeline of what has already taken effect in 2026 and what is scheduled for the rest of 2026 and 2027.

The changes apply in England, Scotland and Wales. Unfair dismissal is devolved in Northern Ireland, where a separate package of reform is planned.

1. What changes on 1 January 2027

Measure	Now	From 1 January 2027
Qualifying period, 'ordinary' unfair dismissal	2 years	6 months
Right to request written reasons for dismissal	2 years	6 months
Unfair dismissal for reason of spent convictions	2-year qualifying period	No qualifying period
Cap on the compensatory award	Lower of £123,543 or 52 weeks' gross pay	No cap
Basis of calculating the award	Actual and projected loss, evidenced by the claimant	Unchanged
Day-one protections (discrimination, automatically unfair dismissal)	Apply from day one	Unchanged

Sources: Employment Rights Act 2025, s25 and Schedule 3; Department for Business and Trade unfair dismissal factsheet. The cap figure is that applying from 6 April 2026.

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Unfair dismissal changes on 1 Jan 2027	
UNTIL 31 DEC 2026	FROM 1 JAN 2027
Qualifying period 2 years	6 months
Written reasons for dismissal 2 years	6 months
Spent convictions 2 years	Day one
Compensatory award cap £123,543	None
Employment Rights Act 2025, s25 and Schedule 3. England, Scotland and Wales.	

Figure 1 — The four unfair dismissal changes taking effect on 1 January 2027.

Section 25 of the Act reduces the qualifying period for ordinary unfair dismissal to six months and also removes the power to vary that period by secondary legislation. Any future change will require primary legislation, which gives employers more planning certainty than the position that has applied since the period moved to two years in April 2012.

Schedule 3 makes the corresponding reduction for the right to request written reasons for dismissal, and removes the qualifying period entirely for dismissals relating to spent convictions. Section 124 of the Employment Rights Act 1996, which contains the cap on compensatory awards, is repealed in full.

The government has confirmed it does not intend to consult further on these provisions. They followed a series of convened discussions between trade unions and business representatives, and the dates should be treated as firm.

2. Commencement mechanics — who is actually caught

This is where the detail matters, and where three points are routinely misunderstood.

There is no phase-in

From 1 January 2027, any employee who already has six months' service is protected immediately. There is no transitional ramp and no grandfathering of existing staff. In practical terms, anyone engaged from 1 July 2026 onwards who is still employed on 1 January 2027 will have the necessary service. Everyone hired before that date is covered from day one of the new regime.

Statutory notice counts as service, whether or not you give it

When determining whether a dismissal falls inside the qualifying period, the effective date of termination is extended by the statutory minimum notice period — regardless of whether that notice was actually given or worked. For an employee with between one month and two years' service, the statutory minimum is one week.

The consequence is that an employee dismissed in late December 2026 without being required to work statutory notice may have their effective date of termination pushed into January 2027, and so qualify under the six-month rule rather than the two-year rule. In broad terms, around twenty-five weeks of actual service will be enough. Any dismissal planned for December 2026 needs this checked before notice is given.

The qualifying period and the uncapped award commence differently

These two changes are frequently described as a single package, but they do not bite on identical populations. The regulations provide that the uncapped compensation regime applies only where the actual date of termination falls on or after 1 January 2027. An employee cannot rely on an extended effective date of termination to reach the uncapped regime, even though an extended date can carry them into the six-month qualifying period.

So a December 2026 dismissal could, through the extension, give rise to an unfair dismissal claim that would not otherwise have existed — but that claim would still be subject to the cap. The distinction is narrow and it is worth confirming with an adviser in any specific case.

3. What does not change

- Day-one protection against discrimination is unaffected, as is day-one protection against automatically unfair dismissal — whistleblowing, trade union activity, health and safety, asserting a statutory right, and the rest.
- The basis on which compensation is calculated is unchanged. Awards remain based on actual and projected loss, evidenced by the claimant, subject to the tribunal awarding what it considers just and equitable. Removing the cap does not create a new head of loss; it removes a ceiling.
- Notice periods are unchanged, both statutory and contractual.
- The non-renewal of a fixed-term contract on expiry continues to count as a dismissal. Where the employee has six months' service, non-renewal will therefore need to be a fair dismissal — a point that materially affects businesses running seasonal or project-based fixed-term arrangements.
- Unfair dismissal protection continues to apply only to employees, not to workers or the genuinely self-employed. The government has said it intends to keep exploring wider employment status reform, but nothing is legislated.

4. How this affects an employer's current position

Probation periods no longer function as a buffer

A six-month probation period, which is the most common length in UK practice, will now expire at almost exactly the moment unfair dismissal protection begins. Allowing for the statutory notice extension, protection may in fact arrive slightly before the probation period ends. A probation framework designed on the old assumptions is now actively working against the employer.

Legal commentary has converged on shortening probation to three or four months, with a clearly drafted and sparingly used right to extend by around one month. The purpose is to force the assessment decision to a point where there is still room to act.

Around 40% of businesses operate a discretionary probationary period, and the substantial majority of those are six months or shorter. Most employers therefore have a live change to make, not a theoretical one.

Performance management has to become earlier and evidenced

Under the current regime, a performance concern identified at month four or five could be handled with a degree of informality. Under the new one, delay risks the employee acquiring protection before any decision is reached. The practical requirement is documented objectives from the start, recorded review conversations at defined points, and a decision taken deliberately rather than by drift.

This is not a new legal standard. It is the same fair-process standard that has always applied to employees with two years' service, now applying to a much larger group. Businesses that already manage performance properly face little additional exposure; those that have relied on the qualifying period as a substitute for management face a great deal.

The financial exposure changes shape, not just size

Removing the cap matters far less than the headlines suggest for typical cases and far more for a specific group. In 2023/24 there were 646 reported unfair dismissal awards in employment tribunals with a median award of £6,746. For the overwhelming majority of claims the cap was never the operative constraint.

It becomes the operative constraint where projected losses are large: senior managers and executives, people on long notice periods, those with significant bonus or share-based earnings, and anyone likely to face a long period out of the market. For a finance director, that is precisely the population where a single claim can become material.

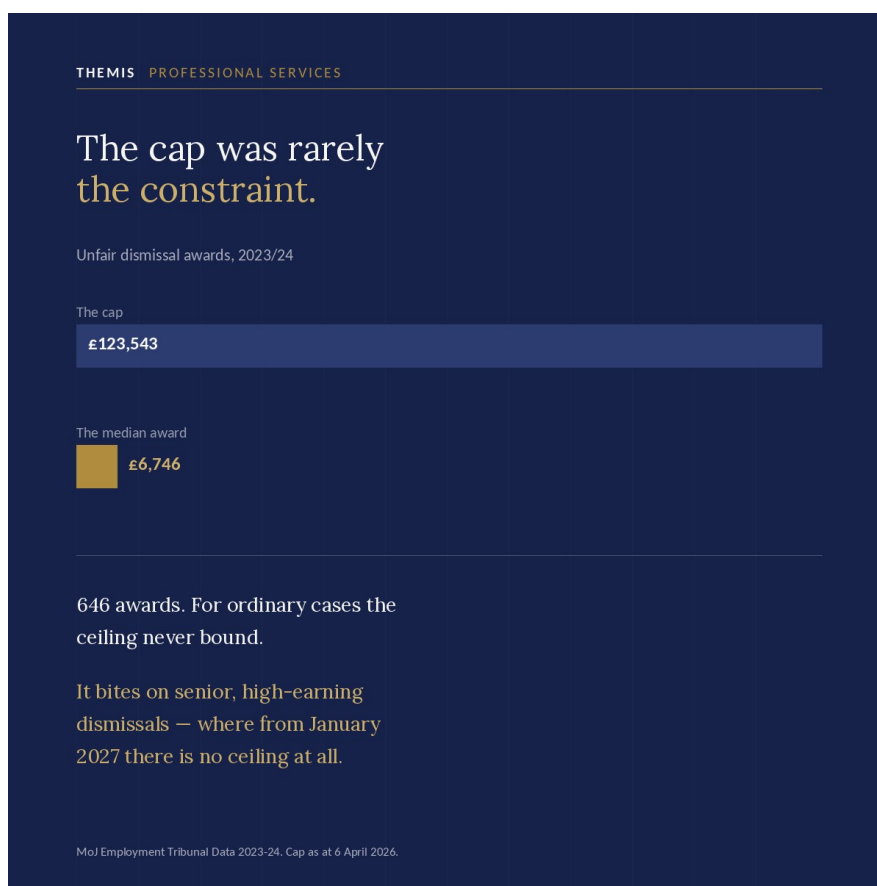


Figure 2 — For ordinary cases the cap was never the operative constraint.

A secondary effect is on settlement dynamics. Where a cap exists, both sides negotiate against a known worst case. Removing it widens the range of credible outcomes and, at the margin, increases the price of settling — particularly for higher earners.

This is a balance sheet question, not only an HR one

Given tribunal waiting times set out in section 7, a contested dismissal of a senior employee now represents an uncapped contingent liability that may sit unresolved across two or three reporting periods. That has consequences for provisioning, for audit discussion, for disclosure, and for warranty and disclosure schedules on any transaction. Employment litigation that used to be a note in due diligence becomes a number.

5. Why this is good for employees

Around 6.3 million people — 22% of everyone employed aged 16 and over — have been with their current employer for between six months and two years. Under the current law that group has only very limited protection: they can be dismissed without a fair reason and without a fair process, with no recourse unless the dismissal is discriminatory or automatically unfair.

From January 2027 that group gains the right to a fair reason and a fair process, the right to written reasons for their dismissal, and access to a tribunal if neither is provided. The government's framing is the reduction of one-sided flexibility, and on that measure the change does what it claims.

The removal of the cap has a second, less obvious benefit for employees. The government's stated rationale is that the cap created an incentive for claimants to construct more complex cases pleading both unfair dismissal and discrimination, because discrimination awards are uncapped. Removing the cap on ordinary unfair dismissal reduces that incentive, which should mean simpler claims and faster determinations.

There is also a point about security rather than litigation. The great majority of employees never bring a claim. The value of the protection lies in the behaviour it induces — better process, earlier feedback, clearer reasons — which benefits the many rather than the few who litigate.

6. Is this good or bad for employers?

Both, and the balance depends almost entirely on how well the business is already run.

The case that it is manageable, or even positive

- The final position is considerably better for employers than the original proposal. Day-one unfair dismissal rights were in the Bill as published in October 2024; a series of defeats in the House of Lords produced the six-month compromise instead. Six months preserves a genuine assessment window.
- Nothing in the new regime is difficult for an employer that already documents objectives, holds recorded reviews and follows the Acas Code. The discipline required is discipline that ought to exist regardless.
- Removing the power to change the qualifying period by secondary legislation means the six-month figure is comparatively stable. Future change requires an Act of Parliament.
- Better early-stage performance management tends to improve retention and reduce the cost of mis-hires, which is a real if unquantified offset.
- If the government is right that the cap incentivised bolted-on discrimination claims, employers may face fewer complex, multi-headed claims — the most expensive kind to defend.

The case that it is a material burden

- The exposure on senior dismissals is genuinely uncapped for the first time, and the removal of the cap was not consulted on and was not expected.
- The compliance cost falls disproportionately on smaller businesses. The government's own impact assessment acknowledged costs would be proportionately higher for small and micro businesses because of the fixed nature of administrative and compliance burdens.
- It arrives alongside a very large volume of other change. Sections 8 to 10 of this briefing list more than thirty separate measures landing across 2026 and 2027; the aggregate management burden is greater than any single item suggests.
- It lands on a tribunal system that is already failing to keep pace, so the cost of defending even a claim you win rises with the length of the queue.
- The scale of the cost is contested. The initial impact assessment estimated a direct cost to business of under £5 billion a year; a revised assessment following the concessions put it at around £1 billion. The TUC argues the central estimate was always about £1 billion and the higher figure was an upper bound. The British Chambers of Commerce has called the £1 billion figure a substantial underestimate, on the basis that it does

not capture management time. The Regulatory Policy Committee found eight of the twenty-three individual impact assessments not fit for purpose. A CIPD survey of 2,000 employers found roughly eight in ten expected the package to increase employment costs, and about half expected a negative effect on employment in their own organisation.

An honest assessment

The change redistributes risk from employees to employers, and it is legitimate to describe that as a cost. But the specific cost falls hardest on employers who were using the two-year qualifying period as an alternative to managing people, and it falls very lightly on those who were not. For a well-run business with documented processes, the principal new exposure is the uncapped award on senior dismissals — which is a real risk, and a quantifiable one, and therefore a manageable one.

The genuine systemic concern is not the legal change. It is that the volume of claims is rising into a tribunal system that cannot currently absorb the claims it already has.

7. The tribunal context

The changes arrive against a background of severe and worsening congestion in the employment tribunal system.

Measure (year to March 2026)	Position
Total open claims	531,000, up from 491,000 a year earlier
Open single claims	64,000, up 55% year on year
Open multiple/group claims	467,000
Single claim receipts	Up 39% on 2024/25
Disposals	Down 12% on 2024/25
Claims including an unfair dismissal complaint	51% of new claims
Unfair dismissal as a share of all complaints	23%
Government estimate, extra claims from the unfair dismissal changes	3,000 per year
Government estimate, extra claims from the time limit extension	2,100 per year

Sources: Ministry of Justice Tribunal Statistics Quarterly, January to March 2026, as reported by HM Courts and Tribunals Service and analysed by Brodies LLP, Blake Morgan and DTM Legal; government estimates cited in Brodies' analysis.

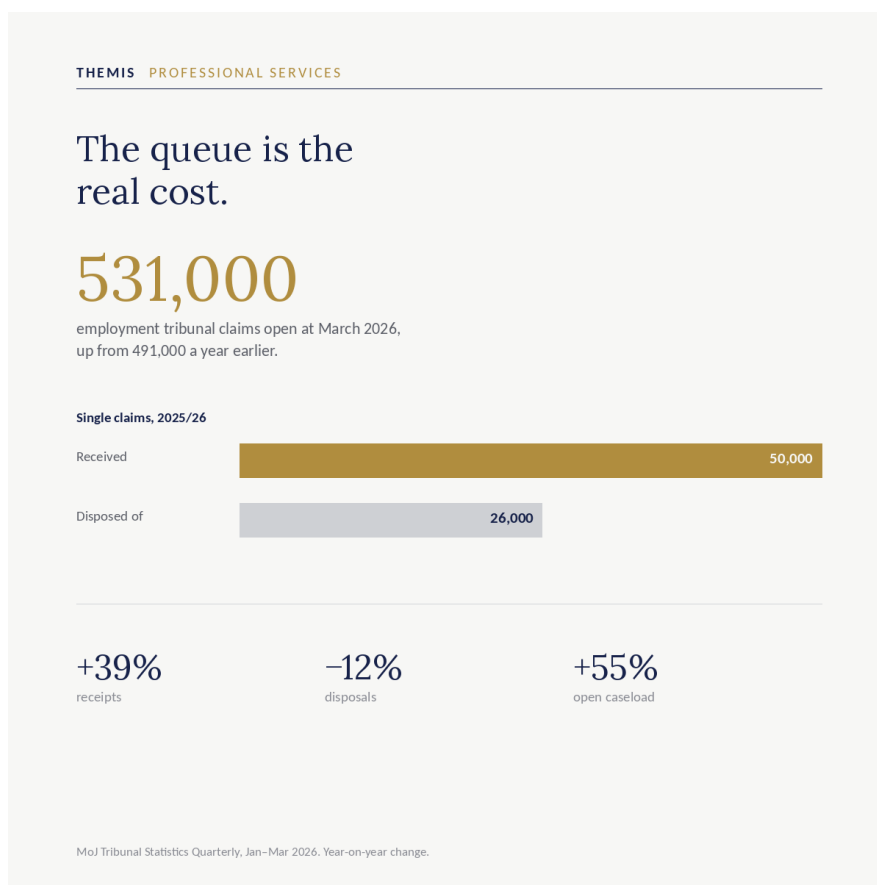


Figure 3 — Claims continue to outpace disposals.

Hearings in some regions, notably London and the south east, are reported as being listed into 2030. Complex 'open track' claims, typically including discrimination or whistleblowing allegations, now account for around 61% of single claims nationally. Acas early conciliation is under corresponding pressure, receiving more than 135,000 notifications between April 2025 and February 2026.

From 1 October 2026 the time limit for bringing most claims doubles from three months to six, which lengthens the period during which a dismissal remains a live risk before the employer even knows whether a claim will be brought.

For an employer, the practical consequence is that the cost of a contested dismissal is no longer primarily the award. It is legal fees, management time and uncertainty spread across several years, whatever the outcome.

8. Timeline: what has already changed

The Employment Rights Act is being commenced in stages rather than all at once. The following measures are already in force.



Figure 4 — Key commencement dates across 2026 and 2027.

Date	What changed
18 Dec 2025	Employment Rights Act 2025 received Royal Assent. The Strikes (Minimum Service Levels) Act 2023 was repealed on the same day.
18 Feb 2026	First trade union package: the 40% support threshold for industrial action in important public services removed; ballot and notice information requirements reverted to the simpler pre-2016 form; notice of industrial action reduced from 14 to 10 days; the mandate period for industrial action extended from 6 to 12 months; picket supervision requirements repealed; protection against dismissal for taking industrial action introduced; political fund opt-out and 10-year ballot rules repealed; public sector check-off and facility time obligations repealed.
6 Apr 2026	Statutory sick pay reformed — the lower earnings limit and the three waiting days both removed, so SSP is payable from day one, with employees below the LEL entitled to 80% of wages.
6 Apr 2026	Day-one right to paternity leave and unpaid parental leave. Bereaved partner's paternity leave introduced as a day-one right of up to 52 weeks where the mother or primary caregiver dies.
6 Apr 2026	Whistleblowing protection extended to cover complaints of sexual harassment.
6 Apr 2026	The maximum protective award for failure to consult on collective redundancy doubled from 90 to 180 days' pay.
6 Apr 2026	New duty to keep records of both annual leave entitlement and holiday pay, retained for six years. Failure to comply is an offence punishable by a fine. This was introduced without prior notice and is widely missed.
6 Apr 2026	Gender pay gap and menopause 'equality action plans' available on a voluntary basis. Simplified trade union recognition mechanisms took effect.
7 Apr 2026	The Fair Work Agency became operational, combining HMRC's national minimum wage enforcement, the Gangmasters and Labour Abuse Authority and the Employment Agency

Date	What changed
	Standards Inspectorate.
Aug 2026	Electronic balloting for industrial action introduced and the 50% ballot turnout threshold repealed. A new Code of Practice on electronic and workplace balloting came into force at the end of August; unions may now use postal, electronic or hybrid voting, and workplace voting for industrial action ballots where the employer agrees.

9. Timeline: the rest of 2026

Date	What changes
1 Oct 2026	Employment tribunal time limits increase from 3 months to 6 months. The confirmed roll-out covers breach of employment contract claims (England and Wales), less favourable treatment of part-time workers and fixed-term employees, and breaches of the Information and Consultation of Employees Regulations. A broader extension is widely expected.
1 Oct 2026	Regulations reinstating the 'two-tier code' to prevent public sector workforces being split onto materially different terms.
30 Oct 2026	Harassment: new duty on employers to take 'all reasonable steps' to prevent sexual harassment, a higher bar than the current 'reasonable steps'. Employer liability introduced for third-party harassment across all protected characteristics.
30 Oct 2026	Second trade union package: workers must be informed of their right to join a union; extended rights for union representatives; extended detriment protection for industrial action; trade union workplace access agreements introduced; the prohibition on unfair practices extended across the whole recognition and derecognition process.
Autumn 2026	Fair Pay Agreement process established in the adult social care sector in England.
9 Nov 2026	Breach of employment contract claims in Scotland move to the 6-month time limit.

10. Timeline: 2027

Dates marked 'during 2027' were confirmed as falling in that year in the government's implementation timeline but did not have a specific commencement date at the time of writing. Several remain subject to consultation and secondary legislation, and the government has stated that longer-term timings remain under review.

Date	What changes
1 Jan 2027	Unfair dismissal: qualifying period cut from 2 years to 6 months; written reasons for dismissal at 6 months; qualifying period for spent-conviction dismissals removed; the cap on the compensatory award abolished.
1 Jan 2027	Fire and rehire: defined categories of 'restricted variations' — including detrimental changes to pay, pensions, hours, shifts and holidays — where dismissal and re-engagement on new terms is automatically unfair unless a financial necessity test is met. Pushed back from October 2026.
1 Jan 2027	It becomes automatically unfair to dismiss an employee in order to replace them with someone who is not an employee doing substantially the same work — aimed at replacement by agency or contractor labour.
During 2027	Zero-hours and low-hours reforms: right to a contract reflecting hours regularly worked, reasonable notice of shifts, and compensation for shifts cancelled or curtailed at short notice, extending to agency workers. Consultation closed 25 August 2026.

Date	What changes
During 2027	Flexible working: employers will only be able to refuse a request where a statutory ground applies and the refusal is reasonable.
During 2027	Collective redundancy: new employer-wide 'establishment' test, removing the separate-site analysis.
During 2027	Non-disclosure agreements become void where used in cases of harassment or discrimination.
During 2027	Bereavement leave, including for pregnancy loss before 24 weeks. Enhanced dismissal protection for pregnant women, those on maternity leave, and for six months after returning.
During 2027	Equality action plans become mandatory. The Fair Work Agency begins enforcing holiday pay rights.
During 2027	Further industrial relations reform: extended blacklisting protection, electronic balloting for recognition ballots, and a new industrial relations framework.

11. Action checklist

1. Review the length and drafting of your probation period. If it is six months, it no longer functions as intended. Consider three to four months with a clear, limited right to extend.
2. Identify every employee who will pass six months' service between now and 1 January 2027, and make sure any decision about their suitability is taken with time to spare.
3. Check any dismissal planned for December 2026 against the statutory notice extension before notice is given.
4. Put documented objectives and recorded review points into the first six months of every role, and train line managers on what a fair process requires.
5. Review fixed-term contract arrangements, particularly seasonal and project-based ones, since non-renewal at expiry is a dismissal.
6. Identify the senior roles where an uncapped award would be material, and consider whether that exposure should be provisioned, insured or reflected in transaction disclosures.
7. Update employee handbooks and policy documents for the tribunal time limit change from three to six months.
8. Confirm you are keeping records of annual leave entitlement as well as holiday pay, retained for six years, as required since 6 April 2026.
9. Map the remaining 2026 and 2027 measures against your own policies and diarise the ones that need action.
10. Take independent legal advice before updating employment policies, and before any dismissal of an employee with more than six months' service once the new regime is in force.

Scope and status of this briefing

This briefing is provided for general information and reflects the position as at September 2026. It is not legal advice and should not be relied on as a substitute for advice on a specific situation. Themis Professional Services is not a firm of solicitors; on employment matters we work alongside a client's own legal advisers, and this briefing is written from the perspective of the financial and operational consequences for the business rather than as a statement of law.

Several measures listed for 2027 remain subject to consultation and secondary legislation, and commencement dates may move. Readers should check the government's implementation timeline for the current position before acting.

Sources

Primary: Employment Rights Act 2025, sections 25 and Schedule 3; Employment Rights Act 1996, section 124. Department for Business and Trade, 'Factsheet: Unfair Dismissal'. [Business.gov.uk](https://www.business.gov.uk) employment changes campaign — employer changes, unfair dismissal rights, and employment tribunal time limits pages. GOV.UK, 'Implementing the Plan to Make Work Pay and Employment Rights Act' timeline update.

Statistical: Ministry of Justice, Tribunal Statistics Quarterly, January to March 2026. Department for Business and Trade analysis of the Labour Force Survey, Q1 2022 to Q4 2024. Office for National Statistics, 'Business insights and impact on the UK economy', Wave 133. Ministry of Justice, Employment Tribunal Data 2023-24.

Professional commentary: Pinsent Masons, Brodies LLP, Bryan Cave Leighton Paisner, DLA Piper, Norton Rose Fulbright, Blake Morgan, DTM Legal, Blackadders, Trethowans and Citation. Positions on cost: HM Government impact assessments, the Regulatory Policy Committee, the Trades Union Congress, the British Chambers of Commerce and the CIPD.

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